PT Nirwana Bhumi Energy

INTERNAL AUDIT PROCEDURE

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REVISION INDEX

Revision	Date	Description of Changes	Revised By
0	October 2026	Initial Issue - Standard CSMS Procedure for PT Nirwana Bhumi Energy (0008-SOP-IMS-CEO-X-2026)	IMS & HSE Team

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1.0 OBJECTIVE

The objective of this procedure is to establish an independent, systematic, and documented audit methodology to verify whether the Integrated Management System (IMS) and Contractor Safety Management System (CSMS) within PT Nirwana Bhumi Energy conform to planned arrangements, international standards, and statutory requirements.

Specifically, this procedure guarantees that:

- All organizational functions, operational procedures, project sites, and management controls are audited at planned intervals.
- Non-conformances, systemic weaknesses, and operational risks are identified, documented, and remediated through verifiable root-cause corrective actions.
- Senior management is provided with objective, grounded audit telemetry to evaluate systemic performance and drive continual improvement.

2.0 SCOPE

This procedure applies to all internal quality, environmental, occupational health, and safety audits conducted across PT Nirwana Bhumi Energy.

The scope encompasses:

- All operating divisions: Executive Management, Operations & Engineering, Finance & HR, Procurement, and Quality/HSE.
- All operating facilities: Corporate Offices, workshops, warehouses, fabrication areas, supply staging sites, and client rig/field locations.
- All governing standards: ISO 9001:2015, ISO 14001:2015, ISO 45001:2018, PP No. 50/2012 (SMK3), and SKK Migas/PLN CSMS requirements.

3.0 DEFINITIONS & ABBREVIATIONS

Internal Audit: A systematic, independent, and documented process for obtaining objective evidence and evaluating it objectively to determine the extent to which audit criteria are fulfilled.

Lead Auditor: A qualified and certified individual appointed by the Management Representative to lead and direct an audit team.

Auditor: An appointed person with demonstrated competence who conducts audits independently of the department being audited.

Auditee: The division, department, work unit, or personnel being audited.

Non-Conformance (Major): The absence of, or total systemic breakdown of, a required management system clause, or a condition that presents direct risk to personnel life, structural safety, or legal conformity.

Non-Conformance (Minor): A single observed lapse or isolated failure to comply with a procedure or standard requirement that does not compromise overall process integrity.

Observation / Opportunity for Improvement (OFI): A condition that does not constitute a non-conformance but highlights an operational vulnerability that warrants proactive enhancement.

4.0 RESPONSIBILITIES

President Director / CEO: Authorizes the annual internal audit program, reviews systemic non-conformance trends, and ensures executive support for necessary corrective interventions.

Director of Operations & Technology / CTO: Ensures all operational, engineering, and technical personnel participate actively in audits and execute operational corrective actions within agreed deadlines.

Management Representative (MR) / Lead Auditor: Develops the Annual Audit Schedule, assigns independent certified auditors, oversees audit execution, reviews audit reports, and tracks corrective action closure.

Internal Auditors: Prepare customized audit checklists, conduct objective sampling and interviews, document findings, and verify implementation of corrective actions.

Department Managers / Auditees: Cooperate with auditors, grant unrestricted access to facilities and records, perform root cause analysis for identified non-conformances, and implement corrective actions.

5.0 PROCEDURE STEPS

5.1 Annual Audit Programming

The Management Representative shall formulate the Annual Internal Audit Program using Form 0004-FOR-AUD-CEO-X-2026. Every operating department, project facility, and ISO/CSMS element shall be audited at least once per calendar year.

The frequency of audits shall be increased for processes experiencing significant operational changes, repeat non-conformances, or elevated safety risks.

5.2 Auditor Selection and Independence

Auditors shall be selected on the basis of their formal training and certification in ISO 19011 auditing principles. To ensure strict objectivity and impartiality, auditors shall under no circumstances audit their own departments, direct work, or processes under their operational supervision.

5.3 Audit Preparation and Checklists

Prior to executing an audit, the assigned auditor shall review previous audit findings, active procedures, and statutory mandates to compile an Internal Audit Checklist (Form 0002-FOR-AUD-CEO-X-2026) customized to the auditee's scope.

5.4 Conducting the Audit

The audit shall proceed through the following formal phases:

- Opening Meeting: Confirm audit scope, schedule, sampling methodology, and introduce the audit team to department leadership.
- Gathering Objective Evidence: Conduct personnel interviews, examine physical records, inspect operating equipment, and observe physical workflows.
- Audit Findings Evaluation: Categorize findings as Conformity (C), Observation (O), or Non-Conformance (NC: Major or Minor).

- Closing Meeting: Present audit findings to auditee management, clarify any ambiguities, and formally issue Non-Conformance Reports.

5.5 Non-Conformance Reporting (NCR / LKS-PTK)

For every identified non-conformance, the auditor shall immediately generate a Non-Conformance and Corrective Action Request (Form 0003-FOR-AUD-CEO-X-2026), detailing the exact standard clause violated and objective evidence observed.

5.6 Root Cause Analysis and Action Planning

Within fourteen (14) calendar days of receiving an NCR, the auditee shall conduct a thorough Root Cause Analysis (utilizing 5-Why or Fishbone methodologies), define corrective and preventive actions, designate a responsible individual, and specify a target completion date (not exceeding 30 days).

5.7 Verification and Closure of Corrective Actions

Upon the auditee's notification of completion, the auditor shall conduct on-site verification to inspect physical proof of implementation and determine if the corrective action has effectively eliminated the root cause.

If effective, the auditor and Management Representative shall formally sign off the NCR as CLOSED. The Document Controller shall update the status in the Internal Audit Finding Status Log (Form 0001-FOR-AUD-CEO-X-2026).

6.0 PERFORMANCE INDICATORS & AUDIT

The internal audit process shall be evaluated against:

- 100% execution of all planned audit sessions in accordance with the annual schedule.
- Minimum 95% on-time closure rate for all internal audit Non-Conformance Reports.
- Zero repeat non-conformances identified in successive internal or external audits.

7.0 REFERENCED DOCUMENTS

ISO 19011:2018 Guidelines for Auditing Management Systems

ISO 9001:2015 Quality Management Systems - Clause 9.2 Internal Audit

ISO 14001:2015 Environmental Management Systems - Clause 9.2 Internal Audit

ISO 45001:2018 Occupational Health and Safety Management Systems - Clause 9.2 Internal Audit

0001-SOP-GNR-CEO-IX-2026: Document and Records Control Procedure

0010-SOP-IMS-CEO-X-2026: Management Review Procedure

8.0 ATTACHMENTS & ASSOCIATED FORMS

0001-FOR-AUD-CEO-X-2026: Internal Audit Finding Status Log Form

0002-FOR-AUD-CEO-X-2026: Internal Audit Checklist Form

0003-FOR-AUD-CEO-X-2026: Non-Conformance and Corrective Action Request Form

0004-FOR-AUD-CEO-X-2026: Internal Audit Program and Schedule Form